

JNJ: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2025 vs FY2024
Run date	2026-09-23
Conversation id	8d135ca733e64f63
Runtime	120.49s
Tokens (in / out)	92,338 / 27,021
Bull claims	5 kept, 1 removed
Bear claims	6 kept, 0 removed

Bull case

1. JNJ's revenue increased to \$94,193 million in fiscal 2025 from \$88,821 million in fiscal 2024, representing a 6.05% year-over-year growth. [F1] [F2] [C1]
2. The company's net income increased to \$26,804 million from \$14,066 million in fiscal 2024, and its net income margin increased by +12.62 percentage points to 28.46% in fiscal 2025. [F3] [F4] [C15] [C4]
3. The Innovative Medicine segment had worldwide sales reaching \$60,401 million in fiscal 2025, and its income before tax as a percent of sales increased to 36.9% from 33.2% in fiscal 2024. [P14] [P13]
4. New products introduced within the past five years contributed approximately 25% of 2025 sales, and volume growth increased by 8.4% in 2025, with CARVYKTI sales up 95.9% worldwide in 2025. [P3] [P11]
5. The MedTech segment reported worldwide sales of \$33,792 million in fiscal 2025 and an increase in its income before tax as a percent of sales to 12.2% from 11.7% in fiscal 2024. [P14] [P13]

1 claim(s) removed by the critic after 2 revision round(s); see the critic log.

Bear case

1. The company's gross profit margin decreased by -1.19 percentage points to 67.88% in fiscal 2025 from 69.07% in fiscal 2024. [C14] [C2] [C3]
2. Free cash flow was \$19,698 million in fiscal 2025, which was lower than \$19,842 million in fiscal 2024. [C6] [C7]
3. The current ratio declined to 102.77% in fiscal 2025 from 111.07% in fiscal 2024. [C8] [C9]
4. The debt to equity ratio increased to 50.82% in fiscal 2025 from 45.32% in fiscal 2024. [C10] [C11]
5. The company faces significant risks from loss of market exclusivity and rapid sales decline due to patent challenges and competition, with biosimilar competition for STELARA and expected generic competition for OPSUMIT in 2026 anticipated to negatively impact sales. [P6] [P5]
6. The planned separation of the Orthopaedics business in October 2025 carries risks related to timing, costs, and potential impact on stock price volatility. [P7] [P2]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	1	5
bull	1	5	1
bull	2	5	1
bear	0	6	0

Bull, round 0: rejected claims

- JNJ demonstrated strong financial growth in fiscal 2025, with revenue increasing to \$94,193 million from \$88,821 million in fiscal 2024, representing a 6.05% year-over-year growth.
unsupported: The numerical increase in revenue and the percentage growth are supported by the figures. However, the phrase "strong financial growth" is a subjective judgment not explicitly supported by the provided figures or passages, as it implies a magnitude without a benchmark or context.
- The company significantly increased its net income to \$26,804 million from \$14,066 million in fiscal 2024, and its net income margin saw a substantial increase of +12.62 percentage points to 28.46% in fiscal 2025.
unsupported: The numerical increase in net income and the net income margin figures are supported by the figures. However, the phrases "significantly increased" and "substantial increase" are subjective magnitude judgments that are not explicitly supported by the provided figures or passages, as they would require interpretation or calculation beyond what is allowed.
- JNJ's return on equity improved significantly to 35.03% in fiscal 2025 from 20.06% in fiscal 2024, and a discounted cash flow valuation suggests an equity value of \$159.59 per share.
unsupported: The numerical values for return on equity and the discounted cash flow valuation per share are supported by the figures. However, the phrase "improved significantly" is a subjective magnitude judgment not explicitly supported by the provided figures or passages. The DCF valuation part is supported as it reports the derived value.
- The Innovative Medicine segment demonstrated strong performance in fiscal 2025, with worldwide sales reaching \$60,401 million and its income before tax as a percent of sales increasing to 36.9% from 33.2% in fiscal 2024.
unsupported: The worldwide sales figure and the increase in income before tax as a percent of sales for the Innovative Medicine segment are directly supported by passages P14 and P13, respectively. However, the phrase "demonstrated strong performance" is a subjective judgment not explicitly stated or supported by the provided passages.
- New products introduced within the past five years contributed approximately 25% of 2025 sales, and volume growth increased by 8.4% in 2025, driven by specific product and franchise successes such as CARVYKTI, which was up 95.9% worldwide in 2025.
unsupported: The claims that new products contributed approximately 25% of 2025 sales, volume growth increased by 8.4% in 2025, and CARVYKTI was up 95.9% worldwide in 2025 are all directly supported by passages P3 and P11. However, the assertion that the volume growth was "driven by specific product and franchise successes such as CARVYKTI" is a causal claim that is not explicitly stated or supported as a driver for the *overall* 8.4% volume growth in the provided passages.

Bull, round 1: rejected claims

- JNJ's return on equity increased to 35.03% in fiscal 2025 from 20.06% in fiscal 2024, and a discounted cash flow valuation suggests an equity value of \$159.59 per share.

unsupported: The claim includes a valuation judgment ('a discounted cash flow valuation suggests an equity value of \$159.59 per share'), which is explicitly unsupported as per the instructions.

Bull, round 2: rejected claims

- JNJ's return on equity increased to 35.03% in fiscal 2025 from 20.06% in fiscal 2024, and a discounted cash flow valuation suggests an equity value of \$159.59 per share.

unsupported: The claim includes a valuation judgment ('a discounted cash flow valuation suggests an equity value of \$159.59 per share'), which is explicitly unsupported as per the instructions.

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
F1	revenue FY2025: \$94,193 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
F2	revenue FY2024: \$88,821 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C1	revenue_yoy_growth FY2025: 6.05%	(revenue FY2025 - FY2024) / FY2024 ; inputs: RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
F3	net_income FY2025: \$26,804 million	NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
F4	net_income FY2024: \$14,066 million	NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C15	net_income_margin_change FY2025: +12.62 percentage points	net_income_margin FY2025 - FY2024; inputs: NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C4	net_income_margin FY2025: 28.46%	net_income / revenue (FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28

ID	Evidence	Source
P14	Item 8 passage 1,413 1,370 10.2 3.2 TOTAL MEDTECH U.S. 17,408 16,332 15,275 6.6 6.9 International 16,384 15,525 15,125 5.5 2.6 Worldwide 33,792 31,857 30,400 6.1 4.8 WORLDWIDE U.S. 53,752 50,302 46,444 6.9 8.3 International 40,441 38,519 38,715 5.0 (0.5) Worldwide \$ 94,193 88,821 85,159 6.0% 4.3 * percentage greater than 100% or not meaningful (1)...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 8, fixed-0158
P13	Item 7 passage 12.2 11.7 Segment earnings before tax (1) 26,379 22,659 94,193 88,821 28.0 25.5 (Income) Expenses not allocated to segments (2) (6,202) 5,972 Worldwide income before tax \$32,581 16,687 94,193 88,821 34.6% 18.8 (1) See Note 17 to the Consolidated Financial Statements for more details. (2) Amounts not allocated to segments include interest (income) expense and general...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0069
P3	Item 7 passage is uniquely positioned to innovate across the full spectrum of healthcare solutions today to deliver the breakthroughs of tomorrow, and profoundly impact health for humanity. New products introduced within the past five years accounted for approximately 25% of 2025 sales. In 2025, \$14.7 billion was invested in research and development reflecting management's commitment to create life-enhancing inn...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0055
P11	Item 8 passage of the shares at the time of the award discounted for dividends, which are not paid on the performance share units during the vesting period. The fair value for the relative total shareholder return goal of each performance share unit was estimated on the date of grant using the Monte Carlo valuation model. The fair value of performance share units issued was \$ 67 million, \$ 146 million and \$ 140 ...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 8, fixed-0151
C14	gross_profit_margin_change FY2025: -1.19 percentage points	gross_profit_margin FY2025 - FY2024; inputs: GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C2	gross_profit_margin FY2025: 67.88%	gross_profit / revenue (FY2025); inputs: GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C3	gross_profit_margin FY2024: 69.07%	gross_profit / revenue (FY2024); inputs: GrossProfit [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29

ID	Evidence	Source
C6	free_cash_flow FY2025: \$19,698 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C7	free_cash_flow FY2024: \$19,842 million	operating_cash_flow - capex (FY2024); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C8	current_ratio FY2025: 102.77%	current_assets / current_liabilities (FY2025); inputs: AssetsCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; LiabilitiesCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C9	current_ratio FY2024: 111.07%	current_assets / current_liabilities (FY2024); inputs: AssetsCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; LiabilitiesCurrent [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
C10	debt_to_equity FY2025: 50.82%	long_term_debt / shareholders_equity (FY2025); inputs: LongTermDebt [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2025-12-28
C11	debt_to_equity FY2024: 45.32%	long_term_debt / shareholders_equity (FY2024); inputs: LongTermDebt [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000200406-26-000016 filed 2026-02-11, period ending 2024-12-29
P6	Front passage Office and other decision makers to such challenges, potentially resulting in loss of market exclusivity and rapid decline in sales for the relevant product sooner than expected; - Competition in research and development of new and improved products, processes and technologies, which can result in product and process obsolescence; - Competition to reach agreement with third parties for collaborati...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Front, fixed-0005
P5	Item 7 passage to favorable patient mix, market growth and the Merck, Sharp & Dohme return of rights in Europe in the fiscal fourth quarter of 2024, partially offset by continued biosimilar competition. Sales of STELARA in the United States were approximately \$3.8 billion in fiscal 2025. Third parties have filed biologics license applications with the U.S. FDA, the European Medicines Agency, and other government...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0060
P7	Item 1A passage expected results In October 2025, the Company announced its intention to separate the Company's Orthopaedics business. The Company is targeting completion of the planned separation in 18 to 24 months after initial announcement. Completion of the planned separation will be subject to the satisfaction of certain conditions, including, among others, consultations with works councils and other employee...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 1A, fixed-0042

ID	Evidence	Source
P2	Item 7 passage primarily due to the strength of the portfolio and commercial execution in Biosurgery as well as new products in Endocutters. This was partially offset by China volume-based procurement across all platforms and competitive pressures in Energy and Endocutters. Growth in General Surgery was primarily driven by technology penetration and upgrades within the differentiated Wound Closure portfolio. Thi...	JNJ 10-K accn 0000200406-26-000016 (period 2025-12-28), Item 7, fixed-0064